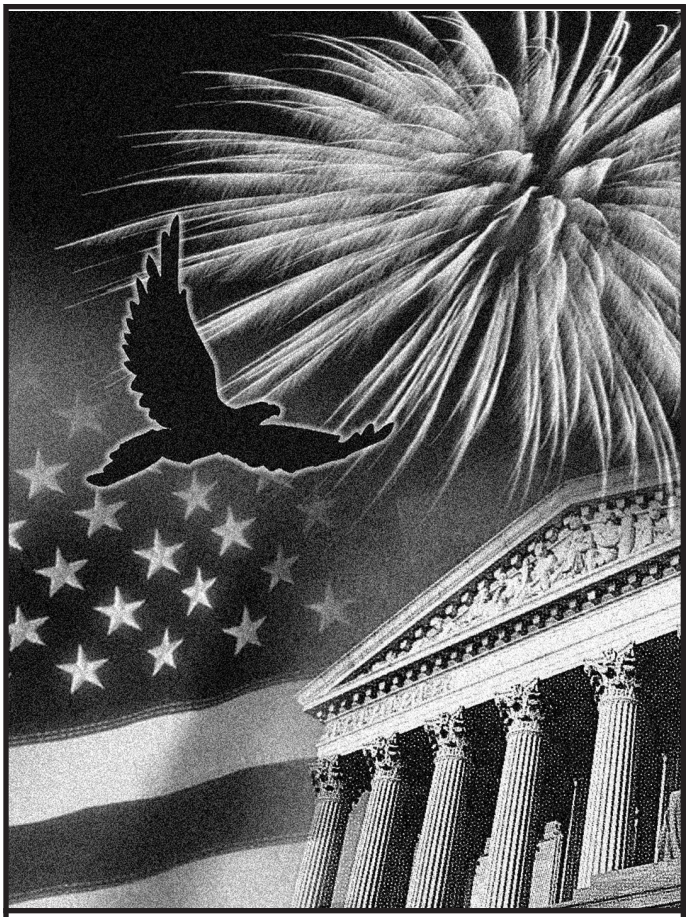
IRS

Publication 15

(Circular E), Employer's Tax Guide

For use in **2025**



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Contents

What's New . . . 1
Reminders . . . 2
Calendar . . . 9
Introduction . . . 11
1. Employer Identification Number (EIN) . . . 12
2. Who Are Employees? . . . 13
3. Family Employees . . . 15
4. Employee's Social Security Number (SSN) . . . 16
5. Wages and Other Compensation . . . 17
6. Tips . . . 21
7. Supplemental Wages . . . 22
8. Payroll Period . . . 24
9. Withholding From Employees' Wages . . . 24
10. Required Notice to Employees About the Earned Income Credit (EIC) . . . 29
11. Depositing Taxes . . . 30
12. Filing Forms 941, Form 943, Form 944, or Form 945 . . . 36
13. Reporting Adjustments to Forms 941, Form 943, or Form 944 . . . 39
14. Federal Unemployment (FUTA) Tax . . . 42
15. Special Rules for Various Types of Services and Payments . . . 45
16. Third-Party Payer Arrangements . . . 52
17. Federal Agency Certifying Requirements of Federal Income Taxes Withheld From U.S. Government Employees Working in, or Federal Pension Recipients Residing in, American Samoa, the CNMI, and Guam . . . 53
How To Get Tax Help . . . 55
Index . . . 58

Future Developments

For the latest information about developments related to Pub. 15, such as legislation enacted after it was published, go to *IRS.gov/Pub15*.

What's New

Social security and Medicare taxes for 2025. The rate of social security tax on taxable wages is 6.2% each for

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the employer and employee. The social security wage base limit is $176,100.

The Medicare tax rate is 1.45% each for the employee and employer, unchanged from 2024. There is no wage base limit for Medicare tax.

Social security and Medicare taxes apply to the wages of household workers you pay $2,800 or more in cash wages in 2025. Social security and Medicare taxes apply to election workers who are paid $2,400 or more in cash or an equivalent form of compensation in 2025.

Electronic filing of some amended employment tax returns now available. You can now file an amended Form 940, Employer's Annual Federal Unemployment (FUTA) Tax Return; Form 941-X, Adjusted Employer's QUARTERLY Federal Tax Return or Claim for Refund; Form 943-X, Adjusted Employer's Annual Federal Tax Return for Agricultural Employees or Claim for Refund; and Form 945-X, Adjusted Annual Return of Withheld Income Tax or Claim for Refund, electronically using Modernized e-File (MeF). At this time, MeF can't be used to file Form 944-X, Adjusted Employer's ANNUAL Federal Tax Return or Claim for Refund; or Form CT-1 X, Adjusted Employer's Annual Railroad Retirement Tax Return or Claim for Refund. For more information on electronic filing, go to *IRS.gov/EmploymentEfile*.

Reminders

Pub. 15 is now for all employers. Pub. 15 is now used by all employers, including agricultural employers and employers in the U.S. territories. Pub. 51, Agricultural Employer's Tax Guide; Pub. 80, Federal Tax Guide for Employers in the U.S. Virgin Islands, Guam, American Samoa, and the Commonwealth of the Northern Mariana Islands; and Pub. 179, Guía Contributiva Federal para Patronos Puertorriqueños, have been discontinued. If you prefer Pub. 15 in Spanish, see Pub. 15 (sp).

Unless otherwise noted, references throughout this publication to Form W-2 include Forms W-2AS, W-2CM, W-2GU, W-2VI, and Form 499R-2/W-2PR; references to Form W-2c include Form 499R-2c/W-2cPR; references to Form W-3 include Form W-3SS and Form W-3 (PR); and references to Form W-3c include Form W-3C (PR).

The COVID-19 related credit for qualified sick and family leave wages is limited to leave taken after March 31, 2020, and before October 1, 2021, and may no longer be claimed on Form 941, Form 943, or Form 944. Generally, the credit for qualified sick and family leave wages, as enacted under the Families First Coronavirus Response Act (FFCRA) and amended and extended by the COVID-related Tax Relief Act of 2020, for leave taken after March 31, 2020, and before April 1, 2021, and the credit for qualified sick and family leave wages under sections 3131, 3132, and 3133 of the Internal Revenue Code, as enacted under the American Rescue Plan Act of 2021 (the ARP), for leave taken after March 31, 2021, and before October 1, 2021, have expired. However, employers that pay qualified sick and family leave wages in 2024 or 2025 for leave taken after March 31, 2020, and before October 1, 2021, are eligible to claim a credit for qualified sick and family leave wages in 2024 or 2025. Effective for tax periods beginning after December 31, 2023, the lines used to claim the credit for qualified sick and family leave wages have been removed from Form 941, Employer's QUARTERLY Federal Tax Return; Form 943, Employer's Annual Tax Return for Agricultural Employees; and Form 944, Employer's ANNUAL Federal Tax Return; because it would be extremely rare for an employer to pay wages after December 31, 2023, for qualified sick and family leave taken after March 31, 2020, and before October 1, 2021. Instead, if you're eligible to claim the credit for qualified sick and family leave wages because you paid the wages in 2024 or 2025 for an earlier applicable leave period, file Form 941-X, after filing Form 941, Form 943-X, or Form 944-X to claim the credit for qualified sick and family leave wages paid in 2024 or 2025. Filing a Form 941-X, Form 943-X, or Form 944-X before filing a Form 941 for the quarter, or Form 943 or Form 944 for the year, may result in errors or delays in processing your Form 941-X, Form 943-X, or Form 944-X.

Form 941 (sp), Form 943 (sp), and Form 944 (sp). If you prefer your form and instructions in Spanish, you can file Form 941 (sp), Form 943 (sp), or Form 944 (sp).

Qualified small business payroll tax credit for increasing research activities. For tax years beginning before January 1, 2023, a qualified small business may elect to claim up to $250,000 of its credit for increasing research activities as a payroll tax credit. The Inflation Reduction Act of 2022 (the IRA) increases the election amount to $500,000 for tax years beginning after December 31, 2022. The payroll tax credit election must be made on or before the due date of the originally filed income tax return (including extensions). The portion of the credit used against payroll taxes is allowed in the first calendar quarter beginning after the date that the qualified small business filed its income tax return. The election and determination of the credit amount that will be used against the employer's payroll taxes are made on Form 6765, Credit for Increasing Research Activities. The amount from Form 6765 must then be reported on Form 8974, Qualified Small Business Payroll Tax Credit for Increasing Research Activities.

Starting in the first quarter of 2023, the payroll tax credit is first used to reduce the employer share of social security tax up to $250,000 per quarter and any remaining credit reduces the employer share of Medicare tax for the quarter. Any remaining credit, after reducing the employer share of social security tax and the employer share of Medicare tax, is then carried forward to the next quarter. Form 8974 is used to determine the amount of the credit that can be used in the current quarter. The amount from Form 8974, line 12, or, if applicable, line 17, is reported on Form 941, Form 943, or Form 944. For more information about the payroll tax credit, see *IRS.gov/ResearchPayrollTC*. Also see the line 16 instructions in the Instructions for Form 941 (line 17 instructions in the Instructions for Form 943 or line 13 instructions in the Instructions for Form 944) for information on reducing your record of tax liability for this credit.